BRAND MANAGEMENT AFTER PRODUCT FAILURE

by

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DEDICATION

I would like thank Allah (God) for all His blessings.

And in God's name this study begins.

This thesis is dedicated to

My father (Hassan), mother (Eman), and sister (Amal)

Who supported me emotionally and financially, never gave up on me, and gave meaning to my life

All my relatives and friends

Who motivated me and lighted the path to my goals

Dr. Inas E. Ezz, Raida S. Hanno, and the entire Writing Centre staff especially Dr. Patricia C. Simmons

Who inspired, taught, and guided me through my life and Masters degree

ABSTRACT

The thesis's purpose is to study the possibility of saving a brand after a product failure.

Companies can save a brand after failure by consumer management and reputation management. The thesis will provide brand managers with the optimal strategy to mitigate the negative consequences of media in crisis and the recovery steps that might save the brand after a product failure. The differences of product failure from a business and an engineering perspective will be explained.

The thesis studies cases of product failure of international companies (Coca-Cola, Johnson & Johnson, Firestone, and Maple Leaf Foods) and analyzes them to provide a normative theory, which is based on the brand management after product failure model and checklist. Following the theory might decrease the probability of brand failure after product failure and facilitate the process of saving the brand by brand managers.

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Chapter 1: Introduction

Reputation, reputation, reputation! O!
I have lost my reputation. I have lost
the immortal part of myself and what
remains is bestial.

William Shakespeare

1.1 Background and Overview:

Branding plays an important role in the consumers' behaviour, especially their buying patterns. Despite the increasing number of brands in the world and their strength, some brand managers forget the real purpose of those brands which was to gain consumer confidence and loyalty by differentiating their products from competitors. Consumer-brand confidence might fluctuate after a product failure; therefore many writers studied factors of product failure to avoid it.

In *Lessons of Failure* (1974), Andrew Beaumont Robertson highlighted the steps that might save a product from failing. In *Brand Failure* (2003), Matt Haig analyzed many cases of brand failure and success in order to set factors of brand failure and success. Although many companies are applying many theories and strategies to avoid product failure, many companies still end up suffering from cases of product failure. Although managers have studied other companies' product failures, they still wonder how and why their own companies' product failed.

As will be explained in this thesis, no environment is crisis free. Thus, deliberate steps to avoid product failure will never guarantee success. Product failure is a "sophisticated problem" because:

- Each product failure has its unique dimensions that differ from one organization to another, one product to another, or one time to another. Therefore, a unified guideline cannot be established in order to avoid any situation that contributes to a product failure.
- Product failure is a highly complicated situation with a progression of critical elements that are interrelated.
- Product failure is related to other problems. Therefore, the failure itself is not necessarily the primary problem but the symptom of other problems.
- Product failure can be seen in many different ways and from many different perspectives. Therefore, there is no single correct view of the problem.
- Handling a product failure is a one-shot mission in which organizations can never undo the actions that it had already done.

1.2 Research Purpose & Method:

This thesis *will not* discuss "what to do in order to avoid product failure" but it *will* discuss how the company can save the brand after a product failure.

It was seen in the market that some brands were able to survive after a product failure, and some were not. The difference between both cases has to do with brand management. Managing a brand is the key to success after a product failure. The

purposes of this thesis are: to guide brand managers to save the brand of the company after a product failure; to mitigate the failure's negative consequences; and to highlight the company's response that could maintain consumer's loyalty after a product failure. This will be done via literature review and review of case studies in order to construct a normative theory to serve as both an initial guide for brand managers and a basis for further research into this topic.

The methodology of this thesis is based on exploratory case studies and literature review. The thesis studies and analyzes four case studies to realize the complicated social incident of losing a brand after a product failure. This failure incident is an interrelation between crisis management, product failure, and brand management. "The case study has been a common research strategy in psychology, sociology, political science, social work, business, and community planning" (Yin, 2003, p. 1).

> Case studies are the preferred strategy when 'how' or 'why' questions are being posed, when the investigator has little control over events, and when the focus is a contemporary phenomenon within some real- life context. Such explanatory case studies also can be complemented by two other types—exploratory and descriptive case studies. (Yin, 2003, p. 1)

This thesis will focus on and study cases of multinational corporations, because although those corporations are the leaders of their industries with numerous departments to guarantee the success of their products, in some cases their products end up failing and risk their brands in the market. Studying the failure of those giant

corporations will prove that no environment is crisis free and no company, whatever its size, can guarantee a no failure environment.

The thesis will also study cases which involve product-based corporations confronting consumer death or threats to consumer health, such cases can be seen as the worst case scenario for companies, but studying those cases will teach brand managers that even in worst case scenarios there are ways to save a brand.

Therefore, using exploratory case studies and literature review was the chosen strategy to study the problem of brand failure after product failure, in order to search for the causes of brand failure and to present a normative theory which might save the brand from failure.

1.3 Relevance and Contributions of the Study:

Although many writers have analyzed many cases of brand failure, including Matt Haig (2003), none sufficiently addressed the question of how to save the brand and maintain consumer loyalty after a product failure. This thesis will analyze different cases of brand failure and success to form a strategy that will save brands and maintain consumers' loyalty after a product failure. The theory that is developed in this thesis is unique in that it consists of two parts: reputation management and consumer management.

This thesis will provide brand managers general principles to mitigate the negative consequences of a product failure, such as eliminating the negative impact

generated from the media. In addition, the thesis will set a plan of action for brand managers to follow to recover from a product failure.

1.4 Structure of This Thesis:

This thesis explains the product failure incident, which is a combination of crisis management and brand management. The theory developed might help brand managers to save a brand after product failure.

In chapter 2, 3, and 4 the thesis provides the literature review which this thesis is based on, such as the difference between the business and engineering perspectives on product failure, the product failure ratio according to the product life cycle, the balance between strong brand and strong reputation, the crisis management team, and the crisis communication plan and its effect on the crisis information gap.

In chapter 5 the thesis analyzes four case studies to conclude learning points from each case in order to develop a normative theory which is introduced in chapter 6. Chapter 7 summarizes the conclusion and present recommendations for further research.

Chapter 2: Product failure

The purpose of this chapter is to define product failure. This chapter will identify the differences of product failure from a business and an engineering perspective; highlight the reasons for product failure; introduce and distinguish between the precautionary and the post-failure concept of saving a brand; explain the product life cycle; and analyze the product failure ratio according to the product life cycle. At the end of the chapter, two cases of well-managed product failures will be presented.

In a business context, product failure is defined differently from other perspectives. For example, product failure from an engineering perspective is:

> The conditional probability, at a given confidence level, that the equipment will perform its intended functions satisfactorily or without failure, i.e., within specified performance limits, at a given age, for a specified length of time, function period, or mission time, when used in the manner and for the purpose intended while operating under the specified application and operation environments with their associated stress levels. (Kececioglu, 1991, pp. 61-62)

In other words, product failure occurs when the product is not functioning properly or not functioning as it was designed. From a business perspective, product failure is different; a product may function properly as it was designed to do, but if it does not satisfy the customers it is still liable to fail. Product failure from a business perspective is based on consumer choice. The product itself might not be the main reason for the lack of success, as Spence (1977) highlights "The mere fact that products

may fail or cause accidents is not by itself an argument for intervention in the market". (p. 561)

A product should be seen as a package of characteristics: price, package, location...etc (Spence, 1977). Any of these characteristics might be the main reason for the product failure rather than the product itself.

Many products fail in the market every day; it appears that some companies are able to survive this failure while others are not. Those who are not able to survive do not necessarily fail because of their products' failure; companies may not have prospered due to their lack of management and their inability to handle failure. Product failure is not necessarily a death sentence for a given company.

Many multinational companies that had product failures have been able to survive until this day, such as Coca-Cola, Apple, Pepsi, and Sony. Although most multinational companies are investing huge sums of money in the research and development process, some products are launched and will fail nevertheless. As products fail, they cause considerable damage to their companies' brands. As companies face disaster, some emerge diminished but essentially healthy because they manage the situation well, while other companies are unable to absorb major setbacks.

It is a misconception to think that good products will simply be accepted by the consumer and succeed; unfortunately, there is no proven formula or rule to follow in order to guarantee that a product will succeed. Many products that were put on the market died eventually, even though those products were based on a good product idea or were of better quality than other existing products (Haig, 2003). Companies should be

aware that even if a product is well prepared to penetrate and succeed in the market, there is a possibility that the product may still fail. Keeping this in mind will prepare brand managers to safeguard the reputation of the company's brand and to prevent brands from meeting an undesired destiny.

Many scholars have researched why products fail, and a great number of books have been published to guide managers as to what to do before launching a product to ensure its success in the market. Many marketing writers have discussed the processes to introduce new products; yet product failure can never be ruled out. The main five reasons for failure are: an inability to study and assess the market correctly; lack of consumer acceptance of the product; premature or hasty product launching to beat a competitor's product; a poorly conceived product idea; or an unimaginative imitation of the competitor's product. The most common reason for failure is "'the natural enthusiasm of all concerned to take a product forward even on the slimmest possibility of ultimate profit'" (Robertson, 1974, p.97).

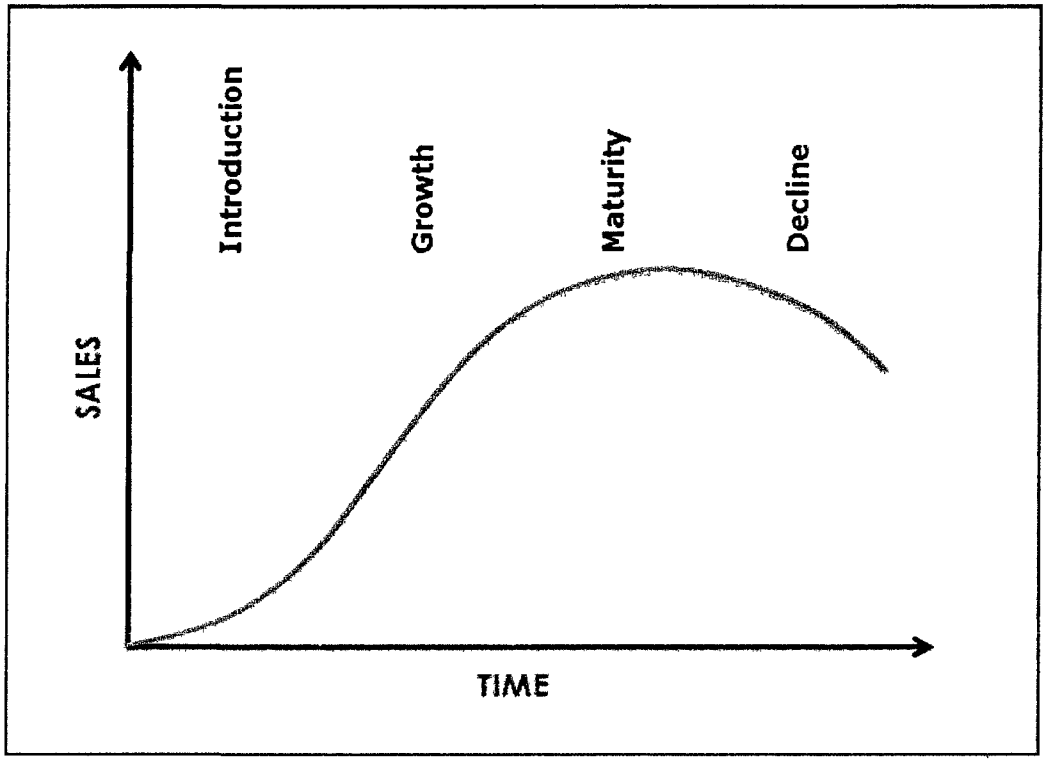
Many brand managers try to prevent their products from failing; nevertheless, some of them fail. The term "precautionary concept" can be used to describe the strategy that managers apply to prevent failure before its occurrence. The precautionary strategy is applied by many companies to save their products from failing before the product even is launched to the market, as many project managers and market researchers study well the market and the product to decrease the probability of product failure. But the precautionary concept will not eliminate product failure as still seen in different markets; however, it might decrease the product's failure percentage. Applying the precautionary concept alone will risk the reputation and the brand of the company, thus companies

should additionally apply a concept that still saves the brand even after a product failure occurrence. The concept can be called a "post failure concept". The post failure concept works from the same perspective that is applied to public relations, which is called a "damage control concept". The precautionary concept tends to guard the brand and the reputation before the product is launched at the market, while the post failure concept tends to save the brand and the company's reputation after product failure. Without professional management, product failure is brand failure; therefore, applying both concepts will eliminate the probability of brand failure.

2.1 Product Life Cycle:

The product life cycle is a business concept, which was developed "To make sure the introduction, alteration, and termination of a product are timed and executed properly" (Pride, Ferrell, Blotnicky, and Grant, 2009, p. 293). Companies' strategies should adapt to the changes their products go through at the product life cycle in order to maintain profitability (Sääksvuori and Immonen, 2008). "By understanding the typical life cycle pattern, marketers are better able to maintain profitable products and drop unprofitable ones" (Pride, Ferrell, Blotnicky, and Grant, 2009, p. 293). The traditional product life cycle consists of four phases: introduction, growth, maturity, and decline, as shown in the following graph:

Figure 1 (Product Life Cycle Curve)[1]:



• *Introduction:* A new product will be placed in the market. At this stage, there are no sales or profits (Pride, Ferrell, Blotnicky, and Grant, 2009).

• *Growth:* The sales of the product increase to generate profit (Sääksvuori and Immonen, 2008), and the profits increase to their maximum point and then decline (Pride, Ferrell, Blotnicky, and Grant, 2009).

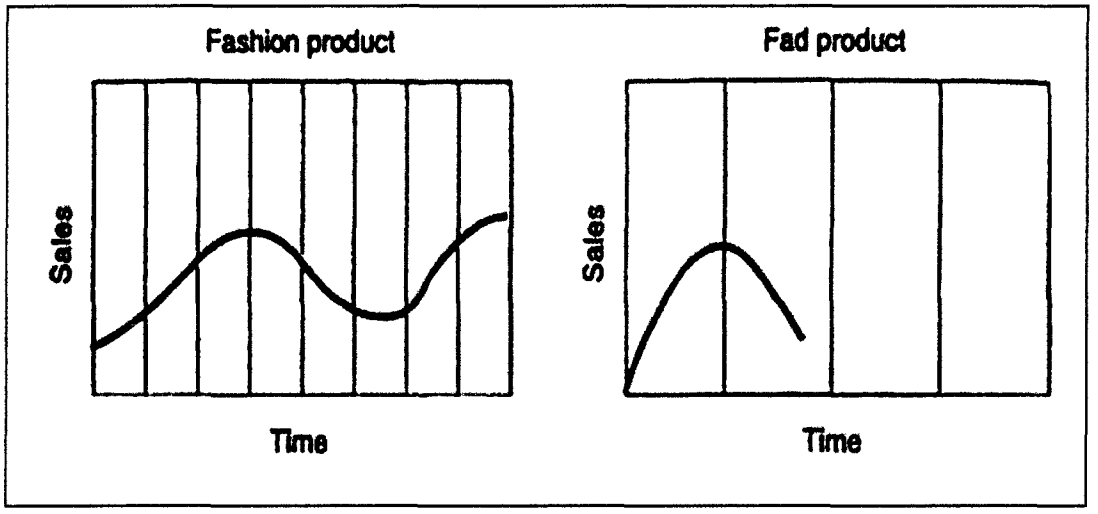
• *Maturity:* "The sales curve peaks and starts to decline and profits continue to fall" (Pride, Ferrell, Blotnicky, and Grant, 2009, p. 296). In this phase, the product has no more distribution pipelines. Price competition increases aggressively (Levitt, 1965).

[1] From *Product Life Cycle Concept.* (2009). Retrieved May 1, 2009 from http://notesdesk.com/notes/marketing/product-life-cycle-plc/

• *Decline:* The decline phase begins when the demand decreases (Levitt, 1965). The critical decision involves when to end the product and the production (Sääksvuori and Immonen, 2008).

The life cycle length and slope of each product or industry can differ. For example, women's fashion products tend to have a fast maturity phase. Beer tends to have a consistent maturity phase, but in a state of gradual and steady decline. Staples, such as men's shoes, tend to have a consistent maturity phase in which the product life line neither inclines nor declines (Levitt, 1965). Therefore a conclusion can be reached which is that not all the products that have disappeared from the market suffered from product failure; some products made it to the end of their product life cycle and declined eventually as another product became more popular. Other products have disappeared because they were based on fashion or fad. The fashion products (See Figure 2) often tend to disappear only to appear later in re-designed forms; the fad products (See Figure 2) have only two phases at their life cycle: introduction and decline (Berkowitz, 2006).

Figure 2 (Fashion and Fad Product Life Cycle Curve)[2]:



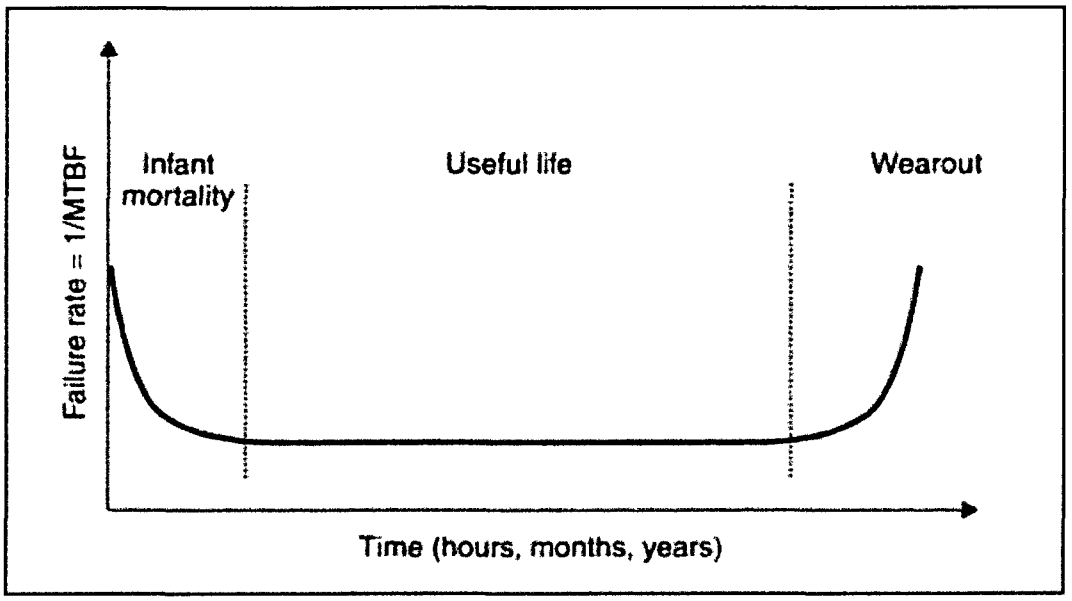
2.2 Product Failure Ratio According to Product Life Cycle:

In the reliability engineering perspective for products, the "bathtub curve" has been applied in order to determine when products have a high probability of failure. The bathtub curve (See Figure 3) is defined as follows:

> The bathtub curve is another way of looking at the cumulative number of failures for a product population operated over time. The bathtub curve is derived from the "cumulative failure plot"; the cumulative failure plot is a plot of the running cumulative number of failures over time. (Levin and Kalal, 2003, p.48)

[2] From *Essentials of Health Care Marketing* (p. 226), by E. N. Berkowitz, 2006, Massachusetts: Jones and Bartlett.

Figure 3 (Improving Product Reliability Bathtub Curve)[3]:



The bathtub curve consists of three stages. The first stage is called "infant mortality," that is, the early failure period in which the product experiences a high failure rate; subsequently, with time, the failure rate begins to decrease. The second stage is the constant failure period in which that failure rate is less than during the first stage, but the product failure rate curve never touches the bottom line because it never disappears as it continues at an invariable rate, regardless of the time the product has been in usage (Tobias and Trindade, 1995). The last stage is the wear-out failure period in which the failure rate increases because the product has consumed its useful life from the engineering perspective. At that point the product has to be replaced or upgraded.

Applying the bathtub curve together with the product life cycle graph leads to the conclusion that the product failure ratio will be high at the introductory stage of the

[3] From *Improving Product Reliability: Strategies and Implementation* (p. 48), by M. Levin and T. T. Kalal, 2003, England: John Wiley.

product at which time it may imperil the brand of the company. The product failure ratio will stay constant for the growth and maturity stages of the product life cycle, while at the end the failure ratio will increase during the declining stage in the product life cycle leading again to a greater risk to the company's brand.

If the probability of product failure is high at the introductory stage and the declining stage of the product, brand managers need to focus their attention on these two critically important stages in order to act expeditiously should the product fail. Managers will want to make sure that they save the brand in spite of product failure.

2.3 Successful Cases of Well-Managed Product Failures:

Cases of failure are numerous, yet some have better outcomes than others. This section will provide two examples of well-managed product failures that did not affect the value of the brand in the market.

Case 1: One case of very well-managed product failure involved the hand-held cellular/game console called "N-Gage" produced by the Finnish company Nokia. This product was released in 2003. It seemed a great idea on paper: the product was a combination of a game console and a high-end cellular phone. The phone targeted mainly the gamers and the teenagers who would buy a Nintendo, or Sony PSP (Dodgson, Gann, and Salter, 2008). Although the competitors' products were cheaper than the N-Gage, Nokia thought that being a game console and a cellular phone at the same time would be a relative advantage to consumers. The N-Gage was offered with a relatively advantageous price in comparison to competitors' products (Dodgson, Gann,

and Salter, 2008). Nokia expected a great success story for this product; yet sales results soon killed their expectations. Sales were poor; consequently the product price dropped by around 0.67 % (from $299.99 to $199.99) within weeks after its launching campaign. Even after a price cut, sales were still suffering (IGN Staff, 2003). Sales numbers were dismal, with less than two million units sold in three years against six million as projected (Grant, 2005).

At the end of 2005, the company announced the failure of the product. Antti Vasara, Nokia's Vice President of corporate strategy, mentioned that N-Gage was "still being sold but it was not a success in the sense of developing a new category" (Reimer, 2005). Nokia learned its lesson the hard way: Nokia understood that entering a new industry with no prior experience or knowledge was not an appropriate move (Klein and Poulymenakou, 2006). Even though Nokia's US marketing manager pointed out that Nokia collected and collated relevant data about consumer needs and choice (Reimer, 2005), still the product failed.

Nokia's product failure did not derive entirely from the product itself, but in part from the strategy of trying to penetrate the game consoles industry without enough knowledge. Nokia's strategy to save their brand after the product failed was to change the core of its product line from games to music and videos, and focusing on music and videos in their new N-series (Reimer, 2005). Subsequently, Nokia relocated the product's segment, hoping the consumer would not compare the N-series with cheaper and higher quality game consoles. The new attraction for the consumer would be a cellular phone with a secondary music player function. This smart and quick move was undertaken by the company in order to safeguard the brand.

Case 2: The second case of product failure that was also well managed occurred with Sony's PSX product. The product was an updated version of the PlayStation 2 consoles with many new features, such as a DVD player, TV tuner, and internal hard disk (Associated Press, 2003). The main goal of introducing the PSX was providing more features to PlayStation 2 users; it was hoped that this would create consumer loyalty and allow the company to compete with its market rivals. Sony thought that the success of PlayStation 2 would predict the success of the PSX; however, this turned out not to be the best strategy, largely because the PSX had a different price than the PlayStation 2 with an expensive price tag of $920 (Associated Press, 2003). The pricing strategy for PSX was wrong because consumers were not convinced that it was necessary to spend $920 on a game console with secondary features such as a DVD player. Sony initially sold the PSX in Japan (Rojas, 2004), presumably to test the market and to seek consumer feedback before releasing the product in the US and European markets. Unfortunately, the feedback Sony received was far from what the company expected; the product failed in the Japanese market and thus the PSX was delayed from its launch in the US and European markets (Rojas, 2004).

Subsequently, the product was cancelled and considered a failure. Sony's mistake was trying to update a product that was producing great sales numbers. In other words, Sony was trying to fix something that was not broken. Sony ended up breaking what it had hoped to build. Yet the quick response of Sony to save the brand was critical in terms of ensuring the continued success of the brand. Sony was much smarter than many other companies that would launch a product in different markets in search of success. Sony understood that there was no need to launch the product in different

markets, which would have wasted large amounts of money. Sony believed that once the product failed in one market—because of the consumers' perspective that the product was over-priced—it would fail in other markets too. In the end, the response of the company saved the brand.

Chapter 3: Brand Management

The purpose of this chapter is to illustrate the importance of *brand management* after a product failure. The chapter will state the top 10 global brands for 2008; define brand and the branding process; identify the causes of brand failure; and list the strategies for brand management after product failure. At the end of the chapter, the efficient way of creating brand awareness through reputation will be clarified.

The word *brand* has gained prominence in public and private discourse over the years. Countless brands have affected consumers' lives and behaviours (in particular, buying patterns). Some brands are recognizable household names that play an important role in consumers' lives, as can be seen in Table 1, the top 10 global brands for 2008.

Table 1 (Top 10 global brands for 2008)[4]:

2008 Rank	Brand	Country of origin	Sector	2008 brand value ($m)
1	Coca-Cola	United States	Beverages	66,667
2	IBM	United States	Computer Services	59,031
3	Microsoft	United States	Computer Software	59,007
4	GE	United States	Diversified	53,086
5	Nokia	Finland	Consumer Electronics	35,942
6	Toyota	Japan	Automotive	34,050

[4] *Note:* From *The Top 10 Global Brands for 2008*. (n.d) by Interbrand Inc. Retrieved March 1, 2009 from http://www.interbrand.com/best_global_brands.aspx?year=2008&langid=1000

7	Intel	United States	Computer Hardware	31,261
8	McDonald's	United States	Restaurants	31,049
9	Disney	United States	Media	29,251
10	Google	United States	Internet Services	25,590

The top brands were studied in a complex process based on many factors; the ranking was not set based on the company's market share or sales. Instead, those brands were ranked according to a mixture of qualitative standards and factors that drive a company's brand to be strong, such as being the market leader, having consistent competitive advantage, being global, expanding activities, and seeking long-term profit (Arnold, 1993).

3.1 Brand Definition:

The definition of a brand is "a name, term, sign, symbol, or design, or a combination of them intended to identify the goods or services of one seller or group of sellers and to differentiate them from those of competitors" (Kotler and Armstrong, 1996, p. 283). The brand is a way of differentiating a company's product from competitors' products either by higher quality or lower price or any strategy that may draw customers to the company's brand and try to maintain their satisfaction and loyalty: "Products are mute: the brand is what gives them meaning and purpose, telling us how a product should be read" (Kapferer, 2008, pp. 42-43).

In the 19th century, branding was created to prevent products from failing at the market; brands differentiated mass-produced products from the nearly identical ones offered by competitors (Haig, 2003). However, in our era, the story is different because the brands are not always able to save the company from failure. Indeed, when a product fails, the brand itself may be in danger because it may be perceived that the brand has failed too (Haig, 2003). Although some brands fail miserably and lead many companies to fade out of the market, other brands are able to succeed in the market and become an icon in the consumers' perception.

3.2 Causes of Brand Failure:

The assumption that huge companies' brands will never die is a misconception. Unfortunately, the number of deceased multinational brands proves that equating size with success is a fallacy. Marketers have become keenly aware that no brand is too big to fail. Generally, the failure of big brands makes headline news because the public expects a strong company to prevent its brands from failing. Companies such as Coca-Cola and McDonald's have demonstrated that major brands have the same probability of failing as domestic companies with limited marketing expertise (Haig, 2003).

Certainly not all brands succeed and there is no proven formula to adopt in order to make a brand succeed in all environments. Research indicates that 80% of new products die at their launching stage, and another 10% fail within an average of five years. Thus, a new product has only a 10% chance of long-term success (Haig, 2003). Although some brands die as soon as they are launched, some are intentionally killed. Today,

companies that seek to kill a brand do not just give up and shut it down because they know that those actions will affect consumers' emotions. Instead, they gradually reduce the number of the products they sell under that brand until it dies, and then claim publicly that the brand died from lack of consumer interest. This is how GM eliminated Oldsmobile (Flint, 1999).

The brand-consumer relationship can save brands from failing; for example, brands such as Sony, BMW, and Apple have become icons in consumers' perceptions. Consumers have a history, a personal relationship with those brands based on pleasant past experiences. When a new product is introduced to the market, it has not really been branded yet; the product name, trademark logo, exclusive product design, and different packaging serve as the brand of the product, but the brand is more than those things. The brand is the link between the product and its consumer; it can be seen as the history of consumer satisfaction with a certain product, so the brand is not fully created for a new product because there is no brand history (Holt, 2004).

Brands were created to facilitate people's buying decisions:

> They enable you to trust the Bordeaux you drink, the Mercedes you drive, and the GE jet engine that lifts the plane you count on to take you places. Brands are the ideas, perceptions, expectations and beliefs that are in the mind of consumers, your potential customers or any individual who can affect your enterprise. (Kotler, Pfoertsch, and Michi, 2006, p. VI)

Kotler et al.'s theory leads to the conclusion that lack of trust is a factor in brand failure. Of equal importance is meeting a customer's expectation so that the customer will not be lost to a competitor.

Brands are sort of a contract between the consumer and the company; consumers will keep buying the brand if the company will keep satisfying their needs. However, if the company breaks this contract, then consumers will seek alternatives. Strong brands have the power to affect the consumers' emotions, which will influence their buying decisions (Blackett, 2004). Thus, the company has to periodically check this contract to ensure that the company is meeting consumers' new needs.

Each case of brand failure is different from any other, but there are common factors related to consumers that lead brands to fail, such as:

- *The brand lost consumers' trust*: The brand was not stable enough to gain customer trust or confidence; a purchase of this particular brand was not able to give the consumers the same satisfaction the brand gave them at their first purchase (either in terms of the quality level or the price range). The main goal of the brand, from a consumer perspective, is to save time, money, and effort that the consumer would waste through trying different products to receive the desired level of satisfaction (Arnold, 1993). Consequently, losing the trust of the consumer means losing the consumer forever.
- *The brand is not emotionally attached to the consumer*: Part of the brand success can be easily seen when the consumer pays more for a certain brand and can also be seen when the consumer waits for a certain brand's new product launches.

Joel Desgrippes, founder of a brand design agency in Paris specializing in corporate identity and retail environment, has claimed:

> Branding is not only about ubiquity, visibility, and functions; it is about bonding emotionally with people in their daily life. Only when a product or a service kindles an emotional dialogue with the consumer, can this product or service qualify to be a brand. (Gobé, 2001, p. xiii)

This is emotional brand connection or emotional branding. Some brands have not been accepted emotionally by consumers on the basis of the brand's country-of-origin or the product itself. As Haig (2003) stated:

> Scott Bedbury, Starbucks' former vice-president of marketing, controversially admitted that "consumers do not truly believe there's a huge difference between products," which means brands have to establish "emotional ties" with their customers. However, emotions are not to be messed with. Once a brand has created that necessary bond, it has to handle it with care. One step out of line and the customer may not be willing to forgive. This is ultimately why all brands fail. Something happens to break the bond between the customer and the brand. (p. 5)

- *The brand never met or exceeded the consumers' expectations*: In an aggressive environment in which most of the competitors are able and willing to meet the consumers' expectations, the company's brand has to exceed the consumers' expectations in order to maintain their satisfaction and loyalty.

When one considers all those reasons for failure, cases of failure, and dead brands, one might conclude that it is a miracle for a brand to succeed. Although the probability that a

brand will fail is much higher than that it will succeed, skillful brand management can increase the odds of success.

3.3 Brand Management Strategies After Product Failure:

There are many definitions of brand management. Brand management analyzes the needs that the consumer is paying to be satisfied (Arnold, 1993), and then satisfies those needs. In order to avoid brand failure, the company has to continually study consumers' needs and wants by market research and consumer behaviour studies. If a product fails, the company has to understand why the customer did not accept the product and begin analyzing failure factors before a product failure leads to a brand failure. Numerous examples demonstrate that companies who understood their situation when a product fails may, with skillful brand management, save their brands. A dead product does not necessarily mean a dead brand; yet, sometimes a company tries in several ways to save a product from failure, but ends up losing the brand too. Major multinational brands always refer any product failure to production malfunction, and companies keep re-launching this product to fail every time (Kapferer, 2008). It is evident that repeated product failure leads to customer dissatisfaction which can lead to brand failure and death.

Another definition states that brand management, from the companies' perspective, should be a long-term and profitable strategy. Brand managers cooperate with many departments inside the company to increase the market share of the company, ensure the consumers' long-term brand loyalty, and secure the maximum level of profit

from the brand (Kotler and Armstrong, 1996). Thus, the real measurement to know if a brand had succeeded or failed is by checking if the brand was able to gain the consumers' long-term loyalty or not. Therefore, both creating a strong brand and managing a brand successfully will lead to satisfied and loyal customers and will generate endless profits for the company (Ellwood, 2002). A brand becomes a source for generating profits for the company exactly like any other asset the company owns:

> The 1980s marked a turning point in the conception of brands. Management came to realise that the principal asset of a company was in fact its brand names. [...] For decades the value of a company was measured in terms of its buildings and land and then its tangible assets (plant and equipment). It is only recently that we have realised that its real value lies outside, in the minds of the potential customers. (Kapferer, 2008, pp. 3-4)

Consumers might sometimes act irrationally. For example, they might choose to pay more for a certain brand, even though the same product could be bought for a cheaper price; consumers might reject buying a certain brand, even though this brand might provide them with cheaper prices and higher quality. This irrationality exists because consumers are not entirely paying for the product—they are paying for the brand (Haig, 2003); thus, marketers believe that brands are psychological facts that exist based on the consumers' impression of each brand (Holt, 2004). This indicates that companies are building their products and brands for their targeted consumers and managing those brands for the sake of consumers. It follows that brand management is customer management because the customer is the first and last referee for the success

or failure of any brand; the customer is the one who holds the brand's destiny in his/her hand.

A common misconception amongst brand managers is that since their brands are strong those brands can protect any product from failure. This might have worked in the past, but in our era this idea has lost its validity. Today, powerful products assist the brands to succeed because products act as representatives of the brands; if a product's quality decreased slightly and the consumer was able to perceive that change, then the brand's reputation might die instantly (Haig, 2003).

It appears, then, that the failure or success of a product will strongly affect the brand. Many cases of product failure have happened to multinational companies, such as Coca-Cola (new coke), Sony (Betamax), and Ford (Edsel). Although the failure of those products did affect the brand, successful brand management and crisis management enabled those companies to save their brands and survive. On the other hand, successful brand management will never be a guarantee that a product will succeed:

> The cleverest brand strategy in the world cannot make consumers buy a product they don't want. Or at least, it can't make them buy it more than once. While it is true that the market leader is not always the best in terms of quality, it is equally true that if a product is truly bad or truly pointless it will be unable to find eager customers. (Haig, 2003, p.35)

Thus, consumers will never buy a product for the sake of the brand.

Some brand managers believe that building a strong brand or managing an existing brand can be based entirely on proper use of the mass media, advertising, and

publicity. This strategy is another misunderstanding in the minds of some brand managers. Advertising is not the sole or primary tool with which to build brands; despite using unreasonably expensive marketing campaigns, many multinational brands failed and died (Haig, 2003):

> In the United States, mass media advertising has long been the cornerstone of most brand-building efforts. [...] Managers of brands in Europe have found that communication through traditional mass media has been ineffective, inefficient, and costly. As a result, many European-based companies have long relied on alternative communication channels to create product awareness, convey brand associations, and develop loyal customer bases. (Joachimsthaler and Aaker, 1999, pp. 2-3)

Thus, advertisement should not be the exclusive tool for brand building or brand managing.

3.4 Creating Brand Reputation:

Brand awareness should come from the strength of a brand's reputation. The sturdier the reputation, the more consumers will be aware of a given brand. Consequently, brand managers should focus more on their brand's reputation than simply on brand recognition; a successful brand is based on the balance between a strong brand and strong reputation (Foley and Kenbrick, 2006). Building brand awareness is not the final goal; it is just a means to a larger end: creating a large, well-satisfied consumer base. To

make the brand successful and profitable, managers have to focus on building a strong reputation in the market (Herbig and Milewicz, 1995):

> Brand and reputation are really two sides of the same coin—and represent your complete business. Executives and marketers must understand that while brand and reputation are interdependent, they are not interchangeable. In fact, a brand is a set of promises, associations, images and emotions that companies create to build loyalty with their customers. (Foley and Kenbrick, 2006, p.3)

Essentially, brand management is reputation management.

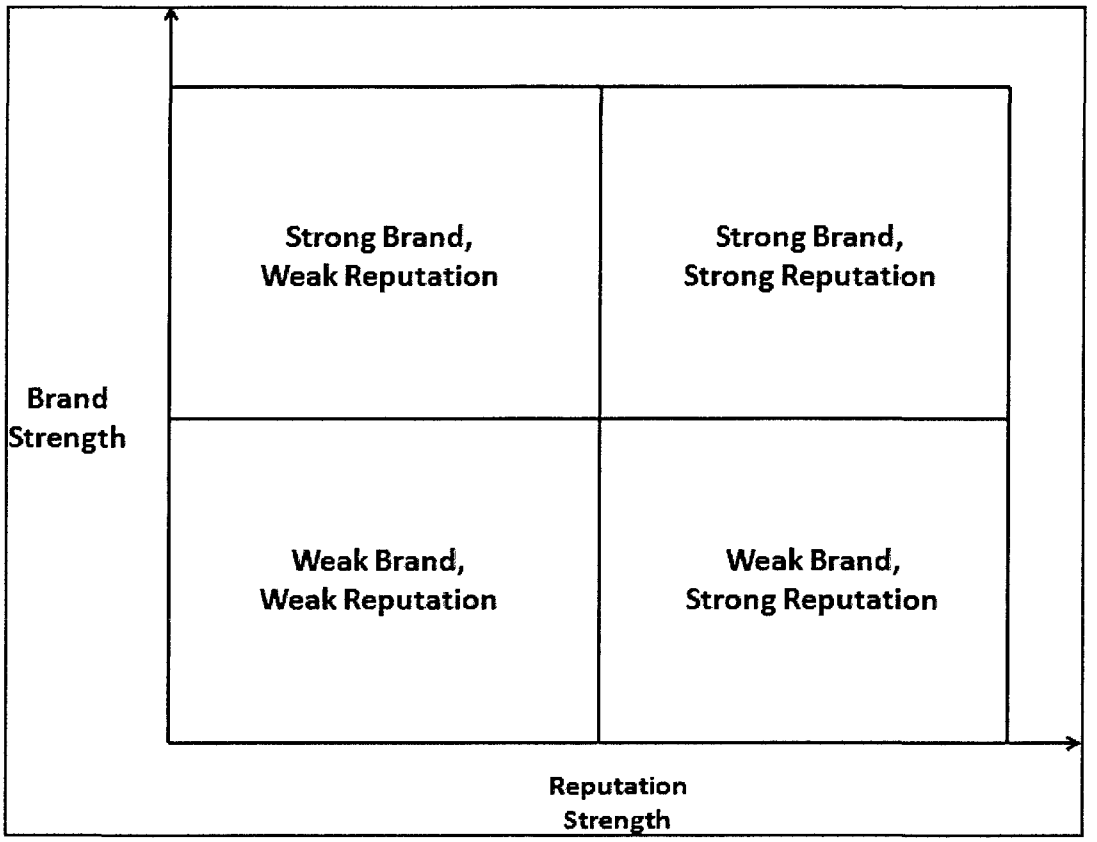
Brands and reputation are formed based on different strategies. Brands are based on the inside-out strategy; companies build their brands for targeted consumers and try to maintain consumers' trust in the company to ensure consumer loyalty in the long term. Reputation, on the opposite side, is based on the outside-in strategy, in which companies have no direct control on the reputation their consumers give the brands. Although reputation is based on consumers' experience, points of view, and rumours, companies are always able to enhance their reputations through their actions, stakeholders' intentions, employees' actions, consumers' perceptions of the company and the industry, and the origin of the company (Foley and Kenbrick, 2006). Thus, through managing the brand and reputation of the company, a brand manager will secure the satisfaction of the consumers and their brand loyalty.

Another misconception believed by brand managers is that having a strong brand means having a strong reputation. Executives and brand managers evaluate their brand strength based on sales numbers and the profit generated from the brand. They may

assume that the success of the brand is a guarantee of its good reputation. However, this is not the right way to evaluate a brand because consumers might buy a product but not love it or respect it. In the end, the strategy of running after the profit numbers only was the main cause of the biggest crises at the market, such as WorldCom, Enron, and Arthur Anderson. In the past, companies with strong brands used to have a strong reputation, but this is no longer a universal rule. Nowadays, a company with a strong brand can easily lose its reputation due to a crisis or a disaster (Foley and Kenbrick, 2006).

John Foley and Julie Kenbrick designed a diagram that clarifies the relationship between a strong reputation and a strong brand to assist brand managers in their attempts to enhance both the brand and its reputation (See Figure 4):

Figure 4 (The Relationship Between a Strong Reputation and a Strong Brand)[5]:



- *Strong brand, Weak reputation*: An example given by Foley and Kenbrick (2006) is *Wal-Mart*. Wal-Mart is facing law-suit cases by its employees for exploitation, in addition to facing the largest class action suit for sex discrimination in the U.S history. Brands that are suffering from a bad reputation have to concentrate on enhancing their image in order to gain back customer trust and respect (Baldinger and Rubinson, 1996).

[5] From *Shifting Brands and Reputation* (p. 5), by Foley and Kenbrick, 2006, New Jersey: John Wiley.

- *Weak brand, Strong reputation*: An example given by Foley and Kenbrick (2006) is *Fender Broadcaster*. In 1954, Fender Stratocaster was the most popular guitar ever made; rock-and-roll stars still seek those guitars for their unique sound. In 1965, Leo Fender sold his company to CBS. Experts said that the company was ruined after this due to the decrease in the guitars' quality. Today, one can buy a new Fender guitar for $300, or an old one for $10,000. The Fender reputation is still strong, but its brand is weak, almost dead. Companies in this category have to focus more on managing their brands.

- *Weak brand, Weak reputation*: These companies are not well known; consumers know little about them or may not even have heard about them. However, there is a possibility that a well-known company could fall into this category after a crisis or product failure. Examples given by Foley and Kenbrick (2006) are Kmart, Squirt, Atari, and Wang. All those companies suffer from a weak reputation and a weaker brand; they are struggling to stay in business waiting for the death knell. Companies in this category have to re-brand their products and make a new start.

- *Strong brand, Strong reputation*: These companies are the most prominent and well known ones. Few companies have been able to maintain this position over time; an example given by Foley and Kenbrick (2006) is Tiffany & Co.:

> With more than 7,000 employees and 100 stores worldwide, Tiffany & Co. has built earnings of more than $300 million on sales of more than $2.2 billion in 2004. [...] Not only has it built one of the strongest brands and reputations in the world but Tiffany & Co. continues to find and cultivate new generations of clientele. [...] Tiffany & Co. strengthens its reputation by contributing to and actively participating in local communities where the company does business. Through a culture of quality, service, and innovation, Tiffany & Co. is one of the best known and most respected brands in the world. (pp. 11-12)

Most brand managers would like to maintain their company's reputation as a market star. A stellar reputation and brand performance require skillful brand management. The diagram designed by John Foley and Julie Kenbrick highlights that a strong brand will never guarantee a strong reputation; neither does a strong reputation guarantee a strong brand. Therefore brand managers should focus on balancing their efforts between the strength of their brands and the strength of their brands' reputation to achieve brand awareness and customer loyalty in the market.

Chapter 4: Crisis management

The purpose of this chapter is to establish the importance of managing a crisis efficiently in order to save a brand from failure. The chapter will define crisis, illustrate crisis managers' characteristics, highlight the types of crisis they face, and identify the features and importance of crisis management teams. The definition and importance of crisis communication plans will follow. Then the chapter will discuss the negative impact of the media in crisis and how to avoid it. At the end, the chapter will examine the five recovery steps to be taken after a product failure.

Crisis, in a business context, is defined as anything that breaks the usual or normal flow of the business process (Fearn-Banks, 2007). Crises are unusual phenomena that occur in every industry; they can threaten a company's reputation or risk the existence of a brand in the market. A crisis can occur any place and any time with no warning; thus the focus should be on preparing how to manage the crisis. Strategizing from a negative perspective is more efficient than taking a positive perspective (Fearn-Banks, 2007). Thus, it is advantageous to handle a crisis from a pessimistic perspective; pessimistic crisis managers are ready for the worst but hope for the best. Although managers are doing their best to seek a stable and predictable environment, they eventually realize that there is no crisis-free environment or organization.

Managing a crisis is a process of planning strategically in order to control the damage, decrease the negative consequences, and eliminate the risk and uncertainty generated by the crisis. Apt crisis management enables a company to shape its own

future and destiny (Fearn-Banks, 2007). For instance, not all cases of product failure were solved by re-launching an updated version of the product or by cancelling the product and pulling it out of the market; some product failures cause serious damage to consumers, leading to death or disease. When a brand faces product failure and aggressive attacks from the media and newspapers, damage control experts or so called "crisis managers" are needed to take charge. Crisis managers act as a link between the company and the company's stake-holders in situations of crisis. They are responsible to cut the company's losses and to take the company from the crisis situation to a safe position. Product failure is only one situation that requires the intervention of crisis managers; crisis managers face a number of crises in their careers. Crisis researcher Otto Lerbinger (1997) classified seven types of organizational crises: (a) natural crisis, (b) technological crisis, (c) Confrontation crisis, (d) Crises of skewed management failure, (e) Crises of deception, and (f) Crises of management misconduct.

4.1 Crisis Management Team:

Since crises can happen at any time without warning signs, a crisis management team should be ready every day for any crisis that might occur. The crisis management team should be quick and effective enough to deal instantly with any symptom that could lead to a disaster if ignored. Any company that is facing a crisis may lose its structure, such as the company's hierarchy and shared mission. From this moment on, the company could change to become a group of individuals who are not coordinated, and do not share goals that bind them together; instead they may end up seeking

individual, personal goals (Dezenhall and Weber, 2007). Crisis could change the characteristics of individuals at the organization, including managers who may not act as decision makers if they lose the ability to make decisions. If they do not act correctly, leading others out of the crisis, managers would lose their authority and the skills that might inspire and affect others positively (Ogrizek, Guillery, Kimball-Brooke, and Brooke, 1999). Thus, the crisis management team must have a clear vision, make quick and strategic decisions, and have full authority to apply those decisions.

The quick reaction of a company suffering from a crisis is the key to success since a problem is much easier to solve before it exceeds the company's capability to handle it. Ignoring a crisis and covering up product failure might lead to a larger failure, namely brand failure. As was the case with famous product failures, such as Coca-Cola's "new coke", the company was threatened with losing its brand because it did not act instantly. If Coca-Cola had recalled the product immediately after discovering that it failed, such expeditious action would have saved the company considerable amounts of money and would have prevented the deepening of the crisis (Dezenhall and Weber, 2007). Hiding facts of a product failure and ignoring signs of crisis will complicate the situation. Therefore, companies are advised to act positively and quickly to save their brands and their reputation.

It is a misconception that a company needs to have a crisis management team or a crisis plan only when it faces a crisis, just as consulting a crisis management organization when the company is already in a middle of upheaval is not best practice. Disastrous results on both the company and the brand can occur from a lack of knowledge and experience of crisis management or the belief that, since companies do

not suffer crises every day, companies do not need to spend a certain portion of their revenue on crisis management or consultants. This erroneous belief can become the death knell for a brand or company:

> A 1989 survey conducted by the public relations firm of Golin/Harris showed that although 66% of respondents had what they called a crisis within the last 5 years, only one third of them had a crisis plan and task force that met every quarter. [...] Another estimate comes from Janice E. Jackson and William T. Schantz, two Portland State University professors of Business Administration, who claim that less than 60% of the Fortune 1000 industrial companies and Fortune 500 service companies have an operational crisis management plan. Abroad in Britain, Crisis planning also leaves much to be desired. Based on 421 responses, Keith Hearnden, a lecturer in security management at Loughborough University, found that 43% of respondents had no contingency plan, 20% had untested plans, 15% had "doubtful" plans, and only 22% had contingency plans that were termed "viable". (Lerbinger, 1997, p. 19)

Companies ought to have a crisis management plan for each and every product they launch or re-launch before a crisis looms; the crisis plan should include strategies for recovery.

Saving a company from a crisis does not mean focusing only on financial loss; the main goal of crisis management should be saving the company's reputation. The financial perspective will ensure the company's existence only in the short term, but preserving the company's reputation will ensure that the company will maintain

existence in the long run. In a crisis, the first thing that the company loses is often its reputation. Although reputation is perceived as an intangible asset for a company, it is one of the most valuable assets a company has. The company's reputation will become threatened during a crisis because the public and stakeholders might lose their confidence and trust if the crisis is not well managed (Lerbinger, 1997). In order to save the company's reputation, there should be crisis communication between the company and its stakeholders.

4.2 Crisis Communication Plan:

A crisis communication plan has been defined as:

> The dialog between the organization and its publics prior to, during, and after the negative occurrence. The strategies and tactics are designed to minimize damage to the image of the organization. Effective crisis management includes crisis communication that not only can alleviate or eliminate the crisis, but also can sometimes bring the organization a more positive reputation than before the crisis. (Fearn-Banks, 2007, p. 9)

Crisis communication is seen as a two way communication process between the organization and its stakeholders or the public during and after the crisis. Good communication in addition to plans and strategies may enable the company to control the negative impact of the crisis and decrease its undesired effect on the company's reputation. Any crisis management plan should include a crisis communication plan.

An effective crisis communication plan saved the reputation and the brand of many companies, such as Tylenol (a case that will be presented later). The better the crisis communication processes, the faster the company will be able to recover from a crisis with minimal losses (Galloway and Kwanash-Aidoo, 2005).

Saving the reputation of a brand after product failure depends on the right communication at the right time with the right people. Public relations departments are responsible for the crisis communication procedure. Since crisis communication plans entail two-way communication, public relation experts should have the ability not only to send appropriate messages to the public but also to receive public feedback and use messages in order to advance the organization (Galloway and Kwanash-Aidoo, 2005). The role of the public relations office is critical when facing a crisis because it acts as a link between the company and the public at a time when every word is magnified and every sentence can have a significant impact.

From a business perspective, the efforts undertaken by the public relations team might save a brand and a company's reputation. From an ethical perspective, their efforts safeguard the right of the public to trust the products they are buying by informing the public about flawed, faulty, or otherwise undesirable products.

In order to save the company's long-term existence and its reputation, it is essential to publish all the information about its products' failure, even if the information affects the company's situation negatively in the short term. Informational transparency between the company and the public is paramount. If a product is flawed, the public expects the company to publish the whole truth of the case. The key to success in

managing a crisis is transparency which will reassure consumers of the company's honesty and integrity (Ogrizek, Guillery, Kimball-Brooke, and Brooke, 1999).

Crisis communication helps both parties—the company and its consumers. Breaking this communication link can have far-reaching consequences for the company. Withholding information and lying are the most common mistakes made by executives when facing a crisis. Otto Lerbinger has studied the effect of misleading the consumers:

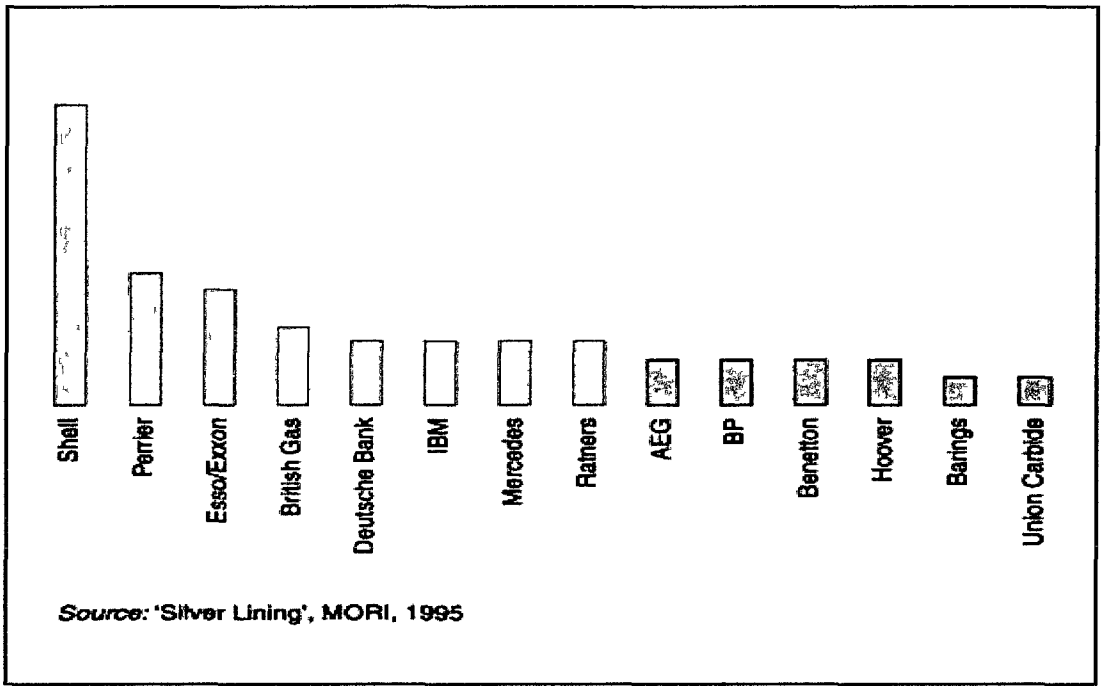
> A 1993 survey of 1,000 U.S. adults conducted by National Family Opinion for Porter/Novelli, a public relations firm, shows why accurate and honest reporting during a crisis is important to preserve an organization's credibility. Of the respondents, 95% said they are more offended by a company's lying about a crisis than they are about the crisis itself—and 57% of Americans believe companies withhold damaging information or lie in times of crisis. Only 19% feel companies are totally truthful in a crisis situation. A "no comment" from a company almost always implies guilt, said 65% of the respondents. Not surprisingly, company spokespeople are seen as the least believable source—only 46% say they are very or even somewhat believable. (1997, p. 31)

When a product fails, the main concern of the company should be the consumer and the consumer's health. Many companies have gained a better reputation after a crisis because consumers understood that the company would spend any amount of money in order to protect the consumers' health, such as Tylenol (a case that will be presented later). On the other hand, many companies have lost their reputation because consumers knew that the company's only concern was maximizing profit.

An unfortunate example of the latter case is that of Shell United Kingdom, which in 1995 ignored consumers' health and well-being, thus losing its reputation for a long while. Shell decided after two years of research to sink its Brent Spar oil rig 150 miles off the west coast of Scotland. Shell calculated that it would be less expensive to dispose of the oil rig by sinking it rather than by disposing of it on land. Shell did not check out the health consequences of its decision, nor did it share this decision with the stakeholders or with the environmental organizations. The outcome of those decisions was a consumer boycott in Germany; the boycott decreased sales by 20% and led to many problems and confrontations with the prominent environmentalist group Greenpeace (Lerbinger, 1997).

Such experiences indicate that any company should rate consumer health as the number one priority. Shell's actions and the lack of communication seriously damaged the company's reputation for a long time (See Figure 5). Figure 5 illustrates that consequences of a comapny ignoring consumer health and risking a brand in the market.

Figure 5 (What specific corporate error or blunder of recent years had the most effect on a company's identity?)[6]:



4.3 Negative Impact of the Media in Crisis:

The media plays an important role in any company's crisis; the media can help a company rescue its reputation and brand by giving the company an opportunity to explain the situation to the public. Since the media put the company and its problems under the spotlight, the media can make matters worse and do great harm to a company facing a crisis. The media might put forward a certain view of a company that criticizes its actions, whipping up the emotions of the consumer and eroding consumer support.

[6] From *Risk Issues and Crisis Management: A Casebook of Best Practice* (p. 150), by M. Regester and J. Larkin, 2005, Virginia: Kogan Page.

The information published in the media is frequently insufficient and inconsistent due to inadequate fact checking. In addition, the media does not always specify whether the information it publishes is a proven fact, an expert point of view, or speculation. For example, a story based on hearsay loses its accuracy. Given the public's thirst for information during a crisis, poor and unreliable information that is not analyzed is often published and believed (Galloway and Kwanash-Aidoo, 2005).

The media acts as a broadcaster, judging the actions of an organization and publishing "the facts" from its perspective. The public is affected by what the media observes and by the image it shapes with regard to the organization's behaviour and actions. In a time of crisis, there is initially an information gap. When a company ignores the gap and withholds information, it gives free reign to the media to fill the gap with inaccurate and speculative information. Thereafter, the public will tend to believe the media and suspect that the company is trying to cover up its mistakes. It is imperative that the company quickly and wisely close the information gap by publishing the correct information to retain the consumers' confidence and trust (Lerbinger, 1997).

Perceived actions, efforts, and continuous corporate communication will be respected by consumers and stakeholders; the company maintains its reputation and safeguards the brand. Therefore, the first concern in a crisis is to decide how to communicate the facts and decisions publicly. No effort should be spared; communication needs to be continuous and clear for the message to be understood and approved (Ogrizek, Guillery, Kimball-Brooke, and Brooke, 1999).

4.4 Recovery Steps After Product Failure:

Saving a brand after a case of product failure might take time and effort, but with certain clear steps the company's brand can recover. The literature review in this chapter suggests *recovery steps* are as follows:

1. *Detect and search*: One of the characteristics of a crisis is uncertainty. Companies in crisis deal with uncertainties or unknowns and unstable environments. It may be hard to determine the factors of failure since they can be either internal or external. Recognizing what went wrong or what led to the unexpected outcome is crucial for the company. In the initial stage, the company should focus on gathering all the information available to determine whether the product failure arose from the product itself or from external factors. The company should search within its value chain system, which includes such agents as the company's distributors, the company's suppliers, and finally the company itself. At this stage, the company should search for the core reason to explain the failure of the product.

2. *Public notification*: While in the process of searching, the company should quickly implement the crisis communication plan to fill the information gap before the media launches aggressive attacks or spreads faulty information. Having gained some understanding of the cause and nature of the crisis, the company should release the information and ensure that consumers are informed without any delay. At this stage, the company should publish all information it has about the product failure, even if negative consequences, such as a damaged

reputation, arise in the short term. It is imperative that the company admits its faults and informs the public. The company should communicate its strategies for redressing the situation in order to ensure that the efforts the company is making are noted and understood. The public needs to be involved and to know step by step what the company intends to do to maintain consumer safety.

3. *Fix*: The main goal of this stage is to deal with the problem and to solve it as quickly as possible. Focusing initially on a short-term perspective will ensure rapid implementation of any actions that will be required. At this stage, the company should fix what went wrong expeditiously, either by cancelling the product line and pulling the product from the market, or by specifying which products suffer from failure. A clear plan should be formulated and communicated internally to all employees and externally to the public to underline the efforts undertaken by the company for the consumers' health and life.

4. *Recover*: At this stage, the company should focus on the crisis from a long-term perspective. This may entail changing the company's structure, production line, corporate governance policies, or corporate culture. Alternately, the company could apply a new total quality management system. Special cases may require other actions. At this stage, the company should be aware that every effort must be deployed to strengthen and rebuild the company's reputation.

5. *Learn*: Finally, the company should study the failure case in all its details and analyze it from every angle to determine what were the roots and the symptoms of the crisis. The company must investigate why it did not realize a crisis could arise in order to design measures to deal with a similar situation, should such a case occur again. Actions undertaken in times of pressure and stress are not necessarily the best, but those actions might have been the best at the time when prompt intervention was required. Companies can learn from failure how to prevent and manage crises and how to strengthen the company's position in the market if it faces the same problem or a similar one.

To conclude, it is crucial that brand management after product failure focuses on ensuring consumers' health. In order to achieve this goal, all the information the company has at its disposal must be presented clearly and honestly to the public, even if it is onerous for the company. Brand managers and crisis managers must prepare the company for the worst, hope for best, and realize that the company's situation will be difficult before it improves.

Chapter 5: Cases

As was discussed earlier, brands die not because their products failed and died, but because the brands lacked skillful management, both brand management and crisis management. The following section will provide some examples in which companies lost their brands and highlight the consequences of losing a brand. This chapter will also cite examples of companies that survived their product failure and saved their brands.

5.1 Coca-Cola:

The first case is Coca-Cola's brand *Dasani*.

5.1.1 Case Situation:

The *Dasani* brand was launched as a healthy water in 1999 in the USA market, as an extension of Coca-Cola's products (Chapelle, 2005):

> The company came out with a "Simplify Wellness" slogan and a program for Dasani, which included sponsoring health-related segments on NBC's Today Show and the Discovery Channel. Though Coca-Cola's Dasani was a late market entry, it swiftly shot to the number-two spot in bottled water brands. (Denny, 2002)

Coca-Cola launched Dasani after realizing the success achieved by Pepsi's product "AQUAFINA" since it was launched in 1994 across the US market (Chapelle, 2005). After two years from its launch on the American market, Dasani was launched in Canada ("Coca-Cola pulls," 2004).

Dasani was launched in the United Kingdom in January 2004 with a budget of 7 million pounds. With that budget for marketing and publicity, it was expected that the product would ring up good sales figures in the markets of the United Kingdom; subsequently, the rest of Europe would be targeted, starting with Germany and France. Unfortunately, things did not go as planned: Coca-Cola was forced to take Dasani off the shelves in the UK in March, just a few weeks after its launch ("Coca-Cola pulls," 2004); Coca-Cola recalled 500,000 bottles in 24 hours as the product was contaminated ("Coke recalls," 2004).

5.1.2 What Happened:

Although water, as a commodity, does not require any core changes to be sold from one market to another, the health regulations do differ; for example, in the UK market, the legal limit for bromate is 10 micrograms per litre. Dasani's bottles contained up to twice the legal limit for bromate, which can increase the probability of developing cancer (Lawrence, 2004).

> The phrase "cancer water" crept into damaging headlines. Coca-Cola said the withdrawal was a precaution and that there was no immediate health or safety issue. It blamed calcium added to the water as a part of the purification process for the bromate. (Doeg, 2005, p. 201)

The contamination of Dasani's bottles changed the public's perceptions. Dasani was not seen anymore as pristine spring water or mineral water. The public became aware that Dasani was just bottled purified tap water.

> Dasani's purification process involves taking a water mains supply through four stages of production before it is bottled. After passing through three separate filters it is subjected to "reverse osmosis", i.e. filtration perfected by NASA to purify fluids on space craft. The pure, filtered water then has minerals added to enhance the "pure taste" before ozone is injected to keep the water sterile. (Regester and Larkin, 2005, p. 153)

Although the process used by Coca-Cola is a complicated purification process, it still is not natural spring water nor mineral water as the customer perceived it to be. The blue color packaging and the use of words such as *pure*, on the front of the bottle, and *purified*, on the back of the bottle, gave the impression that this water was more than just filtered tap water, especially since the marketing campaign did not clearly specify what the source of the water was (Regester and Larkin, 2005). The Consumer International Organization, a non-profit world federation of consumer groups, listed Dasani as one of the "International Bad Products for 2007" mentioning that

> Coca-Cola itself says that Dasani isn't spring water and that it is sourced from local tap water supplies. But from its marketing and packaging, one could easily think otherwise. Dasani promotional material gushes with terms like: "Filtered for purity using state of the art processes" and "enhanced with a special blend of minerals for a pure, crisp, fresh taste". What is [sic] doesn't say quite as loudly is that Dasani comes from the same local municipal reservoirs as the water out of the tap. Coca-Cola is not doing anything illegal, but advertising which suggests their bottled water is significantly superior to local tap water is misleading. They are simply repackaging in plastic containers a common resource and charging

consumers hundreds to thousands of times what it would cost out of the tap. (Upchurch, n.d.)

Water contamination was not the reason for Dasani's failure because Coca-Cola followed all the right steps for managing a crisis. Coca-Cola highlighted their care for consumers' health by withdrawing the product and publishing the needed information about the contamination of their product. Coca-Cola mentioned that taking the product off the market was done voluntarily and to guarantee that DASANI would meet Coca-Cola's highest quality requirements for the consumers' sake (Lawrence, 2004).

The main reason for Dasani's failure was generated by the product idea. Not all consumers are financially capable or willing to pay extra for tap water; considering that Dasani's water comes from the same water supplier found in every consumer's home, and that "half a liter of Thames tap water costs 0.03p, while half a liter of it bottled as Dasani was costing 95p, a mark-up of more than 3,000 times, or a profit of more than 300,000 per cent" was achieved (McCarthy, 2004). The product idea of selling bottled, purified tap water to the consumers with a price of 300,000 per cent more than the normal tap water was not a successful idea. However, Dasani has had great success in the North American market. *FLEXNEWS*, business news for the food industry, stated that in the USA "The best-selling brand in 2007 was Coca-Cola Company's Dasani with wholesale dollars sales of USD 1.6 billion – in other words 13.9% of US bottled water sales last year" ("Dasani," 2008).

5.1.3 Learning Points:

1. **The success of a product in one market is not a guarantee of its success in other markets**: DASANI is a market leader and boasts top sales figures in North America, while DASANI failed miserably in the United Kingdom. The reason for DASANI's success in North America was predicated on the perception that it symbolized a lifestyle, that it represented wealth and good health. In the United Kingdom, consumers were not convinced that they should spend more for bottled water, when its source was tap water.

2. **Companies are judged by their consumer's perceptions**: In the United Kingdom, consumers felt that they were manipulated by Coca-Cola since the consumer was led to believe that DASANI was spring water or mineral water. Lack of public relations from Coca-Cola's side complicated the situation; therefore the consumer-brand trust was broken when the consumer found that Coca-Cola was selling them the same water they had in their homes with an expensive price tag.

3. **Ignoring the crisis increased its magnitude**: In Coca-Cola's case, the lack of crisis management led to the demise of DASANI in the United Kingdom. "'It's now going to be next to impossible for Coke to re-launch Dasani in the UK,' said Allyson Stewart-Allen of International Marketing Partners" ("Coke recalls," 2004). Brand death in one market has an effect on the brand itself in other

markets; consequently, Coca-Cola cancelled DASANI's launch in Germany and France. Markets were not welcoming DASANI as a product any more.

Coca-Cola was able to temporarily save the DASANI brand in the United Kingdom markets after the product failed twice: The first failure was by product contamination and the second failure was due to a consumer boycott. If Coca-Cola had chosen its public relations strategy wisely it would have focused on the following points: (a) clarifying that DASANI was just purified water, (b) highlighting the difference between its product and normal tap water, and (c) differentiating it from the products of its competitors rather than making money off the consumers' misperception. This strategy could possibly have saved the brand from dying in Europe at large, not only in the United Kingdom.

5.2 Johnson & Johnson:

The second case will demonstrate an example of a company that was able to save its brand after a product failure; the product's name is *Tylenol* from Johnson & Johnson. The company was able to save Tylenol from failing because it used its public relations strategies and its crisis management judiciously by showing the public that its main responsibility is consumer health instead of focusing on the financial damage caused by product failure. The case of Johnson & Johnson demonstrates that a company facing product tampering may be able to save the company's brand and even enhance its profit and success through appropriate crisis management and positive public relations. "Never in corporate history has an organization in crisis gained as much public and editorial sympathy as Johnson & Johnson did in the US for their conduct throughout the Tylenol-related poisonings and their aftermath"(Regester and Larkin, 2002, p. 111).

5.2.1 Case Situation:

Tylenol was Johnson & Johnson's flagship product with over one hundred million users and a 1982 market share of 37%, bigger than that of the main four painkiller products combined (Bufferin, Anacin, Excedrin, and Bayer). In the first 3 quarters of 1982, Tylenol accounted for 19% of the company's corporate profits. Tylenol's sales growth was reported to be 13% of Johnson & Johnson sales growth and the source of 33% of Johnson & Johnson's profit growth which enabled the company to be one of the Fortune 500 (Berge, 1990).

"In 1982, seven people in the Chicago area died after ingesting Tylenol Extra Strength capsules that had been laced with deadly cyanide" (Johnson and Phillips, 2003, p. 10).

This failure threatened the brand and put Johnson & Johnson in danger of losing credibility, by breaking the trust bond between the company and its consumers.

Professional marketers' perspective on the Tylenol failure case was that Johnson & Johnson, the parent of McNeil consumer products which manufactures Tylenol, would never be able to re-launch Tylenol or use that brand after that crisis (Femina in Levine, 2003). Johnson & Johnson knew that serious and expeditious action had to be taken. From that point on the crisis management team began to reshape the company's reputation and to take the brand to the safe zone. Nevertheless, the first concern of the crisis team before even saving the brand was saving the consumers' lives.

5.2.2 What Happened:

Johnson & Johnson was able to recover from its product failure and to save the brand and the company's reputation, by implementing strategies based on company values. "CREDO", written by Robert Wood Johnson (n.d.), former chairman of Johnson & Johnson, states that the company has to put the needs and well-being of the consumers first, and then look after its employees and the community. By doing this the company will satisfy the shareholders in the long run. The public valued Johnson & Johnson's efforts to maintain the consumers' well-being and to protect them; this was the main reason for Tylenol's resurgent success.

Johnson & Johnson's first action was to divulge that Tylenol might be contaminated and that the use of the product might lead to death. Johnson & Johnson stopped the manufacturing process of Tylenol to investigate the reasons for the product contamination. "The Corporation immediately removed all Tylenol products from sales

across the United States (at an estimated cost of $100 million) and mobilized a 2,500 person communications effort to get out all the facts openly and honestly and rapidly" (Savitz and weber, 2006, p. 44). Timely reactions and honesty are essential for any company to save its brand after product failure. Johnson & Johnson was focused on maintaining its good reputation and saving the trust link between its consumers and the company by publishing the true facts about the crisis and by communicating with the public, providing daily crisis updates through special toll-free call centers and hot lines (Fearn-Banks, 2007)

Although Johnson & Johnson tried to contain public panic through its judicious reactions and its crisis communication plan, the media was still bent on attacking the company. Consequently, Johnson & Johnson held many major press conferences at the company headquarters and was able to generate more positive news which compensated for the negative items published by the newspapers.

Johnson & Johnson's continued efforts to keep the population updated about the crisis were instrumental in its success.

> Lawrence Foster, Johnson & Johnson's vice-president, issued a statement to reporters that there was no cyanide in the manufacturing plants. A few days later, the Associated Press heard that there was cyanide in the plants and called Foster to confirm the report. After checking again, Foster discovered that indeed a small amount of cyanide was used in the manufacturing plant for quality-assurance testing of some kind. However, the cyanide was kept in a completely separate facility from the production line. Also, none of it was missing. There was no way

> that it could have gotten into the capsules accidentally. Even if it had, it would have been so dispersed as to be harmless. (Fearn-Banks, 2007, p. 67)

Foster, as a representative for Johnson & Johnson, acted with honesty and considered public safety his first priority. Rather than covering up the issue, he published the truth about the cyanide found at the plant. The continued and honest communications between Johnson & Johnson and its consumers enabled the company to regain consumer trust and confidence.

After the intensive investigations undertaken at the Johnson & Johnson production lines, it became clear that Tylenol was contaminated by cyanide at the retailers by an unknown third party. The product contamination was not the company's fault or doing.

The Food and Drug Administration (FDA) established new rules to prevent the Tylenol accident from occurring again by enforcing tamper-resistance packaging. Johnson & Johnson was the first company to use the new tamper-resistance packaging on their new Tylenol packages at its re-launch after the crisis. Such action was the real proof that Johnson & Johnson's first concern was for the consumers' well -being and that the company deserved the consumers' confidence and trust. Thus, Johnson & Johnson was able to safeguard its reputation and the Tylenol brand. Tylenol increased its success after its re-launch and generated sales numbers that matched its normal figures, an indicator that the consumer had much trust in the brand, even after the crisis.

> It's astonishing that only months after this crisis, a poll showed that 79 percent of those surveyed would buy Tylenol again in tamper resistant packaging.

> Furthermore, 90 percent of those people said they didn't blame the company for what happened. within a year of the crisis, Tylenol had once again regained its market leadership position. (Al Golin, 2004, p. 53)

After re-launching the product, Johnson & Johnson won the Silver Anvil Award of the Public Relations Society of America for the ability to manage the crisis and for its effort to save its consumers (Regester and Larkin, 2002).

5.2.3 Learning Points:

1. **Build trust or get ready to be out of the market**: Consumers, not profit should be the main focus of companies. Profit will be generated eventually by satisfying the consumer and by building a strong trust bond between the consumer and the company. If consumers perceive the company trying to protect their health and well being, they will be loyal to that company.

2. **Publish everything with honesty**: After product failure, it is crucial that the company reveal all available information to the public about that product failure and even search for additional information that would allay the public's concerns. Consider the Johnson & Johnson case: the company did not stop at making information the company had public; Johnson & Johnson continued to search and investigate to provide the public with more accurate information.

3. **Actions are louder than words**: After a crisis, it is important that the company keep all the promises it made through its actions. If the same crisis occurred twice in the same company, the company would lose credibility with the public. In the Johnson & Johnson case, the company used the new tamper-resistant packaging to prove that this mistake would not be repeated. After a product failure situation, the public has to be informed about the solution for the crisis and how the company guarantees that the same accident will not happen again. In this example it was necessary to explain to the public how a new technology would eliminate the probability of the same crisis reappearing.

4. **Establishing a crisis management plan in advance**: This point is based on the precautionary concept of crisis management; having a crisis management plan and crisis communication plan can play an important role in saving the company's reputation and brand after product failure. Consumer well-being and health should be the first concern of the company and then profit as was demonstrated by Johnson & Johnson case.

The Johnson & Johnson case was, and still is, an ideal case of managing a crisis and showing how public relations can save the company's reputation and the brand, as well as showing companies all over the world that the consumer should be the first concern in order to succeed in the market.

5.3 Firestone:

The third case highlights the consequences of ignoring a crisis and losing the brand value in the market. The following case is an egregious example of lack of crisis management, bad public relations, and their effect on the customers' perception of the company's reputation and brand. The following case concerns *Firestone tires*. The tire producer must emphasize safety and high quality to gain consumer confidence so they will buy that specific tire rather than non-branded products. When tires fail and jeopardize consumers' well-being, causing death or injury and no crisis management or public relations plan is put into effect, the lack of consideration for consumers' lives will lead to the death of the brand, be it local or multi-national.

5.3.1 Case Situation:

Firestone and Ford had one of the best partnerships in American business history; unfortunately, that partnership ended on May 21, 2001 (Haig, 2003) after a horrible crisis and negative news hurting the reputation of both companies and threatening the existence of both in the American market and other markets as well.

The crisis started in the 1970s when Firestone discovered a problem in their tires that might lead to belt-edge separation at high mileage which might cause the tires to blow out. Although the company tried to fix the problem, Firestone never released the full information the company had to the public. Firestone tried to cover up the product failure but continued to sell a failing product:

> [After] An epidemic of auto accidents apparently caused by the tire's failing, Firestone over the next five years went ahead to make and sell nearly 24 million

> 500s at about $50 each. All along, the company insisted that the tire had no safety defects. ("Forewarnings of fatal flaws," 1979)

Firestone's first priority was profit; however, it was earned by risking consumers' lives. In 1977, the National Highway Traffic Safety Administration, NHTSA, investigated the above accidents and found that they all occurred with Ford vehicles using Firestone tires. The accidents could be linked to the defects in Firestone tires: "Those accidents have involved at least 41 deaths, about 60 injuries and hundreds of incidents of property damage. Over [a] six-year period the company tried, unsuccessfully, to correct the faults" ("Forewarnings of fatal flaws," 1979). Firestone did not cooperate with the NHTSA during the investigation. Firestone blamed the problems on the consumer, citing under-inflation and poor maintenance. Those denials were the source of negative publicity and a bad reputation for Firestone. In such a crisis, the company should cooperate fully with any party in order to provide the consumer with maximum information and to gain maximum protection against product failure (Carroll & Carroll, P.C., n.d.).

"The US government forced a recall of around 14 million tyres after 41 deaths and even more injuries were apparently caused by blowouts of Firestone '500' tyres" (Haig, 2003, p. 145). When a consumer knows that the company is forced to recall its failed products, the company's credibility decreases, causing a decline in sales and damaging its reputation. Consumers knew that "Firestone tried to limit its recall liability then similar to now by claiming certain tires were not defective" ("Center for Auto Safety sues Ford & Bridgestone/Firestone," 2000). Firestone ignored consumer well-being and risked their lives. Lack of concern and unwillingness to assume responsibility

for unsafe or flawed products can destroy a company's reputation and brand even when the latter has been in the market for decades.

5.3.2 What Happened:

In 1978, Firestone tires were still common in an above average number of accidents, but no actions were taken until "The Akron *Beacon Journal* ran a story on July 23, 1978, about an internal Firestone report from 1975. That report said some Firestone steel-belted radials made for GM vehicles had failed a government high-speed test" ("Firestone's second big tire blowout," 2000) The news of Firestone's callousness turned public concern to anger and forced Firestone to recall 6.5 million of their deficient tires (Schubert and Ferrell, n.d.). The public knew that Firestone ignored the fact that the product was defective and withheld important information from the public to maintain or increase profit. The negative news and the impaired reputation of Firestone caused a decrease of sales and loss of market share. Nevertheless, Firestone was able to keep the brand, and, with its strong partnership with Ford, the company was able to survive the crisis and continue to exist in the market.

In 1998, the same crisis started all over again causing more death, more accidents, and eventually the death of a partnership and a brand. The Firestone crisis started again when a State Farm Insurance researcher realized that having Firestone tires was a common denominator in accidents involving Ford Explorer vehicles. The State Farm researcher sent a report to the NHTSA to consider the accident figures and the number of the vehicles (Schubert and Ferrell, n.d.).

"In May of 2000, the National Highway Traffic Safety Administration launched another investigation into the question of whether trend separation in certain Firestone tires was occurring at higher than normal rate" (Friedman, 2002, p. 146). A company should learn from its past crises in order to ensure that the same crisis will not occur again. Unfortunately Firestone did not learn the lesson from the 1978 crisis, and it ended up facing the same problem again. In August 2000, the NHTSA investigation linked 88 deaths and 250 injuries to Firestone tires ("Tire recalls," n.d.). The NHTSA warned Firestone about the tire failures which caused the car to roll over, but Firestone refused to recall their product, stating that Firestone did not agree with the information provided by the NHTSA (Chartier, 2000). Again the public felt that the company ignored safety concerns. Ignoring product failure not only undermines consumer confidence; it is also unethical. Firestone should have recalled the entire product and pointed out the risk the consumer might take using their tires; in addition, the company should have investigated the case in order to protect their consumers and save the brand and reputation.

Ford, on the other hand, was worried about their clientele; so Ford decided to voluntary recall all Ford cars with Firestone tires: "Ford even shut down three of its truck assembly plants, sacrificing $100 million in profits in order to free up new tires" (Muller, Welch, and Green, 2000). Actions like Ford's principled response are needed to save a brand and ensure continued, if not increased consumer loyalty.

In September 2000, Firestone agreed to help recall their defective tires, but from the public perspective it was too late ("Firestone recall timeline," 2000). In February 2001, the NHTSA reported 271 deaths and more than 800 injuries from Firestone's failed tires ("Bridgestone adds China tire plant," 2003). Lack of crisis management leads

to the demise of a brand and loss of reputation. The US government fined Firestone for their lack of management and for covering up critical information that might have saved consumer lives. Consumers also sued Firestone for the deaths or injuries (Healey and Nathan, 2000). Such dereliction can even hurt the company's partner, supplier, distributor, or any entity in the company's value chain. For example, Firestone's crisis affected Ford's existence and reputation in the market:

> Indeed, Firestone's reputation may be damaged beyond repair. But Ford's is still in the balance. If it can convince government leaders and consumers that it acted appropriately, the storm could pass quickly. But if it turns out Ford conspired to hide tire problems in other countries, or simply ignored warning signals, the auto maker could suffer mightily (Muller, Welch, and Green, 2000).

5.3.3 Learning Points:

1. **Consumers might forgive but will never forget**: Consumers might still deal with a certain brand after a product failure, assuming that the brand learnt the causes of the product failure and solved it, and believing that the brand will stand for the promises that it published after its product failure. When consumers face product failure from the same company more than once, the brand and the company will end up suffering from a damaged reputation, leading it out of the market. Firestone suffered from a bad reputation after 2000, and ended up at the bottom of the list of the Fortune magazine survey after being an admired brand at the top of the list (Haig, 2003). Consequently, the company faced a financial crisis and ceased to exist: It was sold to Bridgestone.

2. **No comment action**: Covering up a crisis or sitting on information and refusing to reveal the facts are the fastest ways to lose a company's credibility. A company should make all the information about the product failure available to the public, even if this information will hurt the company's situation in the short term. If a company fails to comment on product failure, the public will believe that the company is concealing damaging information. The Firestone situation was one of the worst business crises; Firestone tried to cover up their product failure ignoring consumers' well-being. Firestone's actions were perceived by the consumer as unethical.

3. **In crisis act quickly**: Any company facing a crisis should act immediately and set consumer health as the first priority. The company should recall all the products that it has doubts about, stop the production line, and investigate the product failure more than once before making a strategic decision. Selling products that risk consumers' lives might be profitable in the short term but will ensure the death of the brand, the reputation, and the company in the long term as was the case with Firestone.

4. **Companies are responsible for their partners'/suppliers' product failures**: Ford as a partner was highly affected by the Firestone product failure. Ford's reputation was decreasing with more Firestone products killing people. Thus, a company must act responsibly towards its distributors, partners, and suppliers' during a crisis or product failure. Companies should help their partners to contain the crisis and to ensure that their reputations are still at an acceptable level. Therefore, a company must help its partners along its product's value chain to save the reputations and brands of all.

5. **Never blame product failure on consumer usage**: Blaming the consumer for a product failure will not avert the crisis; it will only intensify the crisis. Companies should not blame their consumers for poor maintenance or wrong usage if there is a global level of product failure.

5.4 Maple Leaf:

The last case to be discussed is the recent product contamination case, in which the product led to the loss of 20 lives ("Ontario death pushes listeriosis toll to 20," 2008) in addition to the illness of many consumers and financial losses for the company. The product recall was one of the biggest recalls seen in the Canadian food industry: 220 Maple Leaf products were recalled because they had been contaminated by Listeria Monocytogenes (Reuters, 2008). Maple Leaf Foods Inc. was not the first company that has suffered from product contamination, but this case resulted in a loss of consumer confidence for the whole Canadian food industry.

The following case will show how Maple Leaf Foods was affected by its product failure and how it handled that product failure to save consumers' lives and the company's reputation and brand.

5.4.1 Case Situation:

"The Maple Leaf brand had been introduced more than 100 years ago, currently known as Maple Leaf Foods" (Seijts, 2005, p. 246). "Canada Packers" was the original name of Maple Leaf Foods, when it was established in 1927. It became the largest food producer. However, after 60 years of success the company suffered from financial problems and was sold to Maple Leaf Mills which changed its brand name to Maple Leaf Foods. In 1995, Maple Leaf Foods was sold to McCain foods, and the company regained its success and customer satisfaction (Seijts, 2005).

> Maple Leaf Foods prided itself as being guided by six fundamental values: do what's right; be performance driven; have a bias for action; continuously improve; be externally focused; and dare to be transparent. (Seijts, 2005, p. 247)

The crisis started at the beginning of August 2008, when Toronto Public Health investigated the food that was linked to a death at a nursing home and discovered that the food was contaminated with Listeria. Toronto Public Health informed the Canadian Food Inspection of the Listeria case. The Canadian Food Inspection Agency (thereafter referred to as CFIA) notified Maple Leaf Foods of the Listeria product contamination ("Meat recall timeline," 2009).

The Maple Leaf Foods crisis management team acted quickly and transparently to inform all distributors that the CFIA was investigating their products. On August 17, 2008 Maple Leaf Foods recalled two products, Sure Slice Roast Beef and Corned Beef, as soon as Maple Leaf Foods was informed by the CFIA that those products were contaminated ("Meat recall timeline," 2009). The company's prompt response prevented the crisis from escalating and avoided an increase in the number of deaths at that time.

Maple Leaf Foods did not wait for the CFIA investigation results; Maple Leaf Foods began to investigate its own products to ensure their quality and safety. The company's investigation results indicated that more Maple Leaf Foods' products were contaminated by Listeria. Thus on August 19, 2008 Maple Leaf Foods expanded its product recall list ("Meat recall timeline," 2009).

On August 20, 2008 a death and 16 other cases were revealed and linked to Maple Leaf Foods' product contamination; thus Maple Leaf Foods expanded its product

recall list to include 23 additional products of packaged meats produced at the Toronto factory. The Maple Leaf Foods investigation indicated that all of the contaminated products were produced at the factory in Toronto. Therefore Maple Leaf Foods closed the factory to check the safety and quality procedures ("Meat recall timeline," 2009).

On August 23, 2008 the Public Health Agency of Canada indicated that their investigation results established a link between the deadly outbreak of Listeriosis and Maple Leaf Foods' meat products ("Meat recall timeline," 2009).

5.4.2 What Happened:

On August 23, 2008 Michael McCain, Maple Leaf Foods' Chief Executive officer, voluntarily recalled all the 220 products that were manufactured at the plant in Toronto ("Meat recall timeline," 2009), and made all the information Maple Leaf Foods had about the crisis and about the product contamination public. The corporate website was used to publish the information and to apprise all consumers about the product contamination:

> McCain says the first step in brand rehabilitation was the company's response in the first few hours of Aug. 23 after it learned its meat was causing sickness. Maple Leaf immediately accepted accountability, apologized for the outcome, was transparent with its findings and was clear on an action plan. 'What we believe is that all of those things bought us the right to be heard in the future. They did not guarantee us anything beyond that'. (Pitts, 2008)

Bob Kingston, president of the union that represents food inspectors, did not see anything surprising at Michael McCain's voluntary recall, as he pointed out that if

Maple Leaf Foods did not recall the 220 products, it would eventually be forced by the CFIA to recall its entire product from the Canadian market. From Bob Kingston's perspective, it was better for Maple Leaf Foods to recall its products quickly to save their reputation and brand (Pitts, 2008).

The wide recall of Maple Leaf Foods' products was a complicated process as they are sold under many other brands such as Schneiders, ML Sure Slice, Deli Gourmet, MSD, Burns, ML, and FS. Maple Leaf Foods' business users such as McDonald's and Mr. Sub were affected by that wide recall, since those distributors were using Maple Leaf Foods' products ("Link between listeriosis," 2008).

On September 5, 2008 Michael McCain announced publicly that more than one of the slicing machines at the company's Toronto plant was the reason of the Listeria crisis ("Meat recall timeline," 2009). Michael McCain understood that acting transparently and keeping the public informed about the crisis situation helped maintain consumer confidence.

In October 2008, the CFIA's process of inspecting the Toronto plant's machines and checking the safety standards and quality of the plant were finished; it was announced that the plant met the standards and that it could produce again but with tighter standards and investigations of the products. Yet, in spite of increased security measures, Listeria was found again at the plant (Curry, 2008).

> McCain showed flashes of anger and frustration. New traces of Listeria had been found in test samples in the Toronto plant, as it geared up production in anticipation of being cleared, soon, to ship products again. (Pitts, 2008)

In February 2009, Maple Leaf paid $27 million to settle all the lawsuits against the company stemming from the Listeria outbreak ("Meat recall timeline," 2009). The following interview highlights McCain's confidence in his crisis communication plan and the strength of the company's brand:

> Can the company survive? "Of course, absolutely" McCain insists. "Yes, this is a tragic situation, but we are a very strong organization, great diversity in products, amazing people who are deeply committed, a portfolio of fantastic brands. We have a strong balance sheet, a great relationship with all of our stakeholders, a well-articulated future that is bright and everyone believes in". (Pitts, 2008)

But whether the company will be able to survive, only the consumer can decide. However, during the early crisis situation "experts predicted that the brand would never recover" (Cohen, 2008)

The effects of many crisis cases are difficult to predict. In spite of the pessimistic projections of experts, some companies are able to recover from their crises and product failures, gaining more trust, consumer confidence, and eventually profits. In the final analysis, all depends on the company's actions during the crisis and how well the company manages the crisis. Companies can establish crisis plans and crisis communication plans to be ready when a product fails or a crisis occurs.

> "Typically, these types of issues can result in little or no permanent damage to the brand reputation if dealt with pro-actively and openly," TD Newcrest analyst Michael Van Aelst said in an Aug. 22 research note. "It is usually only when the

company tries to cover up the problem that real and sometimes irreparable damage tends to occur". (Ratner, 2008)

Ultimately, the consumer is the only judge to decide the future of a brand.

5.4.3 Learning Points:

1. **Do not cover up any crisis**: companies can survive a crisis with minimal losses with skillful brand management, but covering up crisis is the source of failure and brand death. The public loses their trust and confidence toward a brand if they find out that the company was trying to cover up a crisis that might threaten their lives. Crisis communication plan is the key to success in communicating with all stakeholders in a crisis.

2. **Consumer is the only judge:** The only referee that has the final decision on brand survival or brand death is the consumer; therefore, the company should focus on maintaining their trust and confidence.

In Maple Leaf Foods case, the final attitude of the consumers toward the brand could not be presented, whether it leads to brand survival or brand death, because the Maple Leaf Foods case is so recent (ongoing while this thesis is being finalized), and the buying patterns of the consumers fluctuate and cannot be accurately predicted. With time, researchers will be able to study the consequences of the product failure and whether the brand failed or survived.

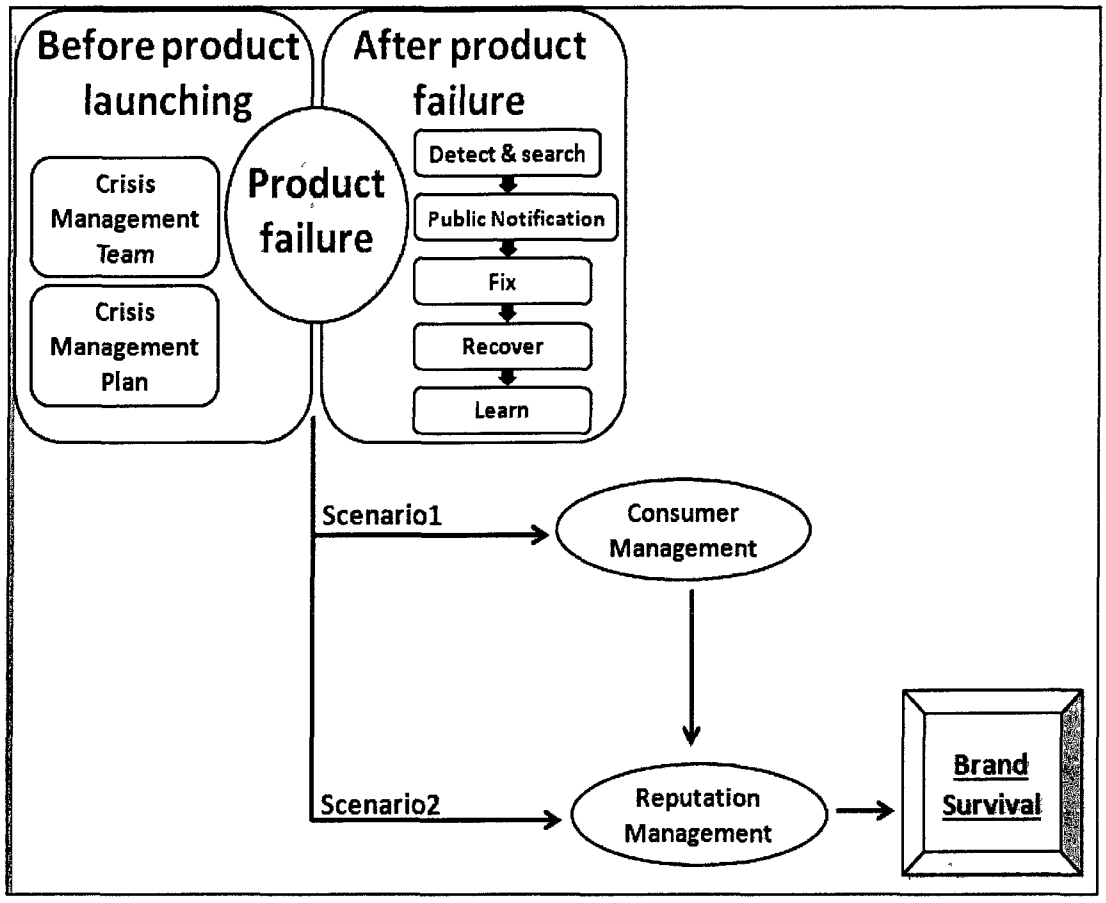
Chapter 6: Normative Theory

The brand management after product failure model is based on the brand management principles discussed in the previous chapters. The model is presented for brand managers to save a brand after a product's failure and to decrease the probability of brand failure after product failure. At the end of the chapter a checklist will be provided; it is based on the brand management after product failure model to facilitate the process of saving the brand by brand managers.

The normative theory tends to answer the question of "what shall brand managers do to save their brands after product failure?" by clarifying what should be done, in what sequence, and who should be doing it. The normative theory acts as a guideline to lead to brand survival after product failure.

> Being able verbally to justify one's cognitive process by reference to some explicit and publicly known normative theory [...] The normative theory guides thought and behaviour just as a theory of grammar guides language production and understanding. (Oaksford and Chater, 1998)

6.1 The Brand Management After Product Failure Model:



The model proposed above shows the steps that brand managers should follow in each scenario to achieve brand success after product failure.

- *Before the product launching:* The company should identify the managers who will be part of the crisis management team, i.e., the team that will take charge and handle any product failure quickly and effectively, dealing instantly with any symptom that could lead to a disaster if ignored. The crisis management team should have the full authority to deal with any symptoms of failure. It is equally important to have a crisis management plan for each and every product

the company launches or re-launches; the crisis plan should include strategies for recovery for each product. The main goal of the crisis management plan should be saving the company's reputation. A crisis communication plan should be part of the crisis management plan. The crisis communication plan should be communicated internally and externally to all stakeholders.

- *Product failure*: Since the probability of product failure is high at the introductory stage and the declining stage of the product (as was explained in chapter 2), brand managers need to focus their attention on these two critically important stages in order to act expeditiously to save the brand if the product fails. Product failure might be caused by many factors rather than the product itself (such as distribution or failure of raw materials); therefore, the company should contact their suppliers, distributors, partners, and any entity at the company's value chain to check if the reason of the failure can be found in those entities rather than in the product itself.

- *After product failure*: The five recovery steps should be applied as soon as the company detects a product failure. The recovery steps are as follows:

    - *Detect and search*: The company should at this step study the product failure and determine the causes of failure since they can be either internal or external. If the product's failure was caused by factors other than the product itself (such as distribution or failure of raw materials),

the company should help the entity that caused the failure in order to decrease negative consequences arising from the failure and to enhance the company's reputation (as was shown in the Firestone case).

- *Public notification*: The crisis communication plan should be in effect to fill the information gap and eliminate the negative impact the media can have during a crisis. The company should be proactive and make all information available about the failure (even if the information will negatively affect the company), communicate the steps of fixing the cause of the product failure, and search for any other information that might be required by the public.

- Fix: the company should deal with the failure causes and solve the crisis as quickly as possible. The short-term perspective should be the company's focus at this stage, with special considerations for protecting the consumers' health. The company should fix what went wrong expeditiously, either by cancelling the product line and pulling the product from the market or by specifying which products suffer from failure.

- Recover: At this stage the long-term perspective should be the company's focus. The company might need to change its structure, production line, corporate governance policies, or corporate culture.

- Learn: consumers might forgive a brand but will never forget the brand's product failure; thus, the company needs to ensure that failure will never occur again. The company should study the product failure case and analyze it from every angle to determine the roots and the symptoms of the crisis.

There are two scenarios to consider with regard to product failure; after a product failure the company should determine which one applies in that particular situation in order to respond effectively.

- *Scenario 1*: **Product failure threatened the health of the consumers.** The company should focus at this stage on eliminating any risks that might arise from the company's product that could threaten the health of the consumer. The company should show the public their care and all efforts undertaken to save the consumers' health. The company should communicate with different health organizations to inform them of the failure and its consequences for consumers' health. The company could pay compensation to the consumers that were affected by the product failure. After ensuring that there is no risk to the consumers' health, the company should focus on enhancing its reputation in the market by applying the advice offered for scenario 2.

- *Scenario 2*: **Product failure does not threaten the health of the consumers**; therefore, reputation management should be applied. Because a brand's reputation is based on consumers' perception of the brand, companies have no direct control over their reputation. Companies can enhance their reputation with

the public through actions that demonstrate their care for consumers, employees, and the environment.

6.2 The Brand Management After Product Failure Checklist:

The following checklist for brand managers will facilitate the process of saving the company's brand. The checklist is based on the brand management after product failure model. The checklist is divided into stages and scenarios. In each stage and scenario there are guidelines that will direct brand managers.

Stage 1 (before product launch)		**Checkmark**		
		Done	**In-process**	**N/A**
1	Build the crisis management team.			
2	Customize the crisis management plan based on the product that will be launched.			
3	Customize the crisis communication plan based on the product that will be launched.			
Stage 2 (product failure)		**Done**	**In-process**	**N/A**

4	Closely supervise the brand at the product's introductory and declining stage			
5	Contact the company's suppliers, distributors, partners, and any entity in the company's value chain			
Stage 3 (after product failure)		**Done**	**In-process**	**N/A**
6	*Detect & search*: Determine the causes of product failure (either internally or externally)			
7	*Public notification*: Apply the crisis communication plan and communicate the strategy that will be applied to all stakeholders to manage the product failure			
8	*Fix*: Attack the failure causes expeditiously			
9	*Recover*: Change the system that led to the failure or apply a new system			
10	*Learn*: Study the product failure case and analyze it from every angle to determine the roots and the symptoms of the crisis			
Scenario 1 (the product threatened the consumer's health)		**Done**	**In-process**	**N/A**

11	Announce the company's care and efforts undertaken to save the public's health			
12	Communicate with different health organizations to inform them about the failure and its consequences for consumers' health			
13	Pay compensations to the consumers that were affected by the product failure			
14	Enhance the company's reputation in the market by applying the same advice as for case 2 (the product did not threaten the consumers' health)			
Scenario 2 (the product does not threaten the consumer's health)		**Done**	**In-process**	**N/A**
15	Improve the company's brand reputation through the company's actions, employees' actions, consumers' perception of the company and the industry			

Chapter 7: Conclusion

The purpose of this chapter is to highlight the conclusions provided by this thesis for brand managers, to present the limitations of this thesis, and to recommend different paths for further research.

7.1 Conclusion:

This thesis reveals the possibility of brand's survival after a product failure incident. The thesis highlights that a brand's death is not caused from a product's failure but is caused from the lack of brand management knowledge within the companies that face a product failure incident. The thesis is able to provide managers with an approach to decrease the negative impact of media in a crisis such as product failure.

Based on the case studies the thesis analyzed, the thesis creates a brand management after product failure model and a check list, which will guide brand managers to certain steps in each stage to follow in case of product failure. Following the model and applying the checklist could lead to brand survival that will save the company the cost of building a new brand or re-branding and the time wasted to do so.

Although this thesis focuses on and encourages saving a brand after a product failure, some brands are not worth saving. In some cases, it is more efficient for the companies to re-brand or dump their brands and build new brands. Usually those failure cases that need re-branding or building a new brand had failed more than once or

negatively hurt the consumer, either physically or emotionally, and they are not able to forgive the brand (as was shown in Firestone case).

Although this thesis guides brand managers to maintain customers' trust and confidence after a product failure, consumers' behaviours are irrational and hard to predict. Since consumers' behaviours play an important role in the brand survival process and act as an unknown and immeasurable factor, applying the brand management after product failure model at two identical failure situations might have extremely different outcomes.

7.2 Research Limitations & Caveat:

Although this thesis is based on case studies of product failure and its effect on a brand, there are limitations to research based on case studies because the feelings and perspective of their authors can strongly affect the presentation and analysis. Thus case studies can provide inaccurate and incomplete outcomes and results. With this said, case study data can be gathered systematically, rigorously (Cohen, Manion, and Morrison, 2003, p. 182), and in an unbiased manner. When completed in such a manner, the results can be accurate and insightful, and therefore of interest for theory development.

With the existence of rare crises that involve products threatening consumers' well being and health, the case studies in this thesis are based on product-based corporations confronting consumer death and brand death. Those crises are the ones that make it to the headlines of the news and cause a panic in the market and in the company.

Analyzing those crises has highlighted that even with the worst cases there is a way and a possibility of saving a brand.

A caveat of note is that the normative theory developed was designed with the aid of case studies of consumer product-based corporations. Moreover, all the case studies analyzed in this thesis are based on multinational and global corporations because those corporations are industry leaders and their crises cause wide spread losses. The thesis did not study cases based on local small companies, service-based corporations, or business-to-business corporations. Thus, applying the normative theory presented in this thesis to such context might not provide users with the expected outcomes.

7.3 Recommendations for Further Research:

This thesis explored the possibility of saving a brand after product failure in consumer products industry and it developed a theoretical model for accomplishing this. The theory generated by this thesis must be subjected to empirical testing to determine the extent of its validity and accuracy as well as to discover the enhancements needed for it to be a viable marketing/management strategy.

Since the normative theory is designed based on case studies of product-based multinational corporations, the theory should be tested by choosing a product-based multinational company that is suffering from a product failure which might lead the brand to die in the market. The corporation should have a crisis management team and crisis management plan in advance. The testing team should work closely with the crisis

management team and the brand managers to apply the normative theory beginning from Stage 2 product failure, which is discussed in the brand management after product failure model and checklist, up to the recovery steps.

Based on the product failure the corporation is suffering, the testing team should decide which scenario applies to the corporation's product failure, in order to make the right decisions according to the consumers' health and the reputation of the brand.

To further validate the normative theory developed, over time, additional case studies should be undertaken. Future research could also involve the application of the theory in the context of small local firms, service-based corporations, and business-to-business corporations. Such testing could enrich our understanding of the normative theory developed, it could identify possible adaptations, and it could further our understanding of brand saving.

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